

US EQUITIES COLOR: MO BOUNCE + PEACE HOPES + NVDA

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S&P +108bps closing @ 7,433 w/ a MOC of \$1bn to SELL. NDX +166bps @ 29,298, R2K +256bps @ 2,817, and Dow +131bps @ 50,009. 18.65b shares traded across all US equity exchanges vs ytd daily avg of 19b shares. VIX -343bps @ 17.44, WTI Crude -542bps @ \$98.52, US 10YR -9bps @ 4.57%, gold +143bps @ 4,547, dxy -22bps @ 99.11 and Bitcoin +81bps @ \$77,584.

Equity melt up on peace hopes in the Middle East (crude -5% / US 10YR -8bps to 4.58%) with reports of “finishing touches” on a draft agreement between Washington and Tehran + a 3% bounce in Momentum in anticipation of NVDA earnings tonight. Single stock flows were muted with mkt in “wait and see mode” and content to sit out continued factor chop. Our floor was a 4 on a 1-10 scale in terms of overall activity levels with Asset Mgrs broadly finishing better to buy while HF flows were ~flat.

NVDA flattish after hours on a down the fairway print. Solid beat for quarter (Q1 Revs \$81.5bn vs. cons \$79bn), and guiding Q2 above (Q2 Revs \$91bn vs. cons 87bn). Capital returns should be well received (upped authorization by \$80bn / raising div to 25c per qtr). Conf call @ 5pm ET. We had as a 9 on a 1-10 positioning scale. Remains generally well-owned by most investor types, particularly given the recent explosive move higher (+35% since the end-of-March low tick)– but no longer the “max long” it once was (ie Tech specialists have rotated out risk curve to find the “next AI trade”.. Generalists have used NVDA as source-of-funds).

Tomorrow we’ll hear from WMT (along with RL and WSM in the AM and DECK and ROST at night). All 5 of those are companies are expected to beat. WMT: The quarter will almost surely be good. The big question post TGT being -6% on the 2Q debate is whether WMT will point to any slowdown. Most feedback is they will sound great on 1Q and fine on 2Q. We think final comp bogey is WMT US +4.5-5%, with most realistically closer to +5%. As always, the bear case is mainly just valuation at the moment, not the core biz. -TY Feiler

DERIVS As we saw Momentum revert into the green, flows on the vol desk were tilted to hedging activity. Most notably, we saw 3 large clips of 100k VIX 1 week call spreads bought in the market. Flagging that we have also seen many large software Jan28 downside buyers over the course of this week. We saw spot up vol up behavior again today as fixed strike vols went bid in tandem with spot. The market seems as though its realizing more to the upside on good news than to the

downside on bad news, with little conviction in the options space. The straddle for the rest of the week went out ~98bps. (TY Shayna Peart)

MUTUAL FUNDAMENTALS

Analyzes the quarter-end positioning of 509 large-cap active mutual funds with a combined \$3.9 trillion in equity assets ([link](#))

1. PERFORMANCE AND FLOWS: 29% of large-cap mutual funds are outperforming their benchmarks YTD, below the historical average of 37%. Funds have increased their cash positions YTD, but cash balances remain low versus history. Inflows to US equity mutual funds and ETFs have accelerated YTD, totaling \$166 billion.

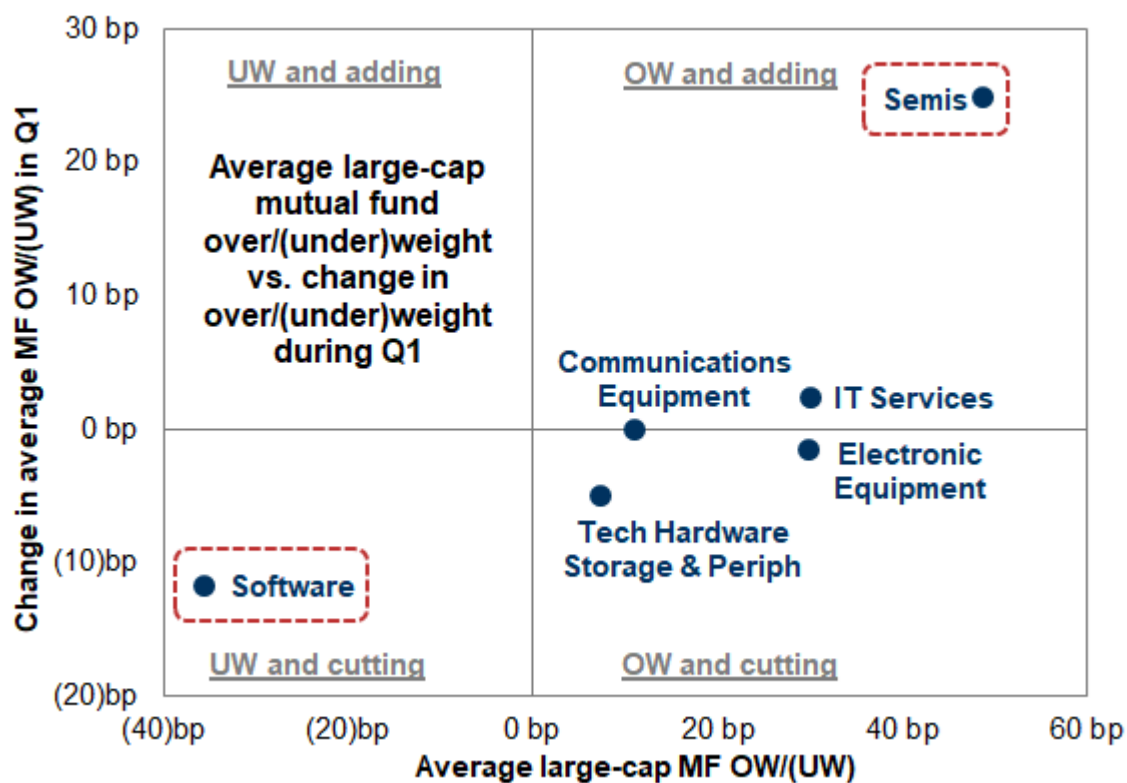
2. THEMES IN FOCUS: (1) AI: Mutual funds continued to rotate out of Software and added to Semis during Q1. Excluding the mega-caps, the average large-cap mutual fund lifted their Semis overweight by 25bp to +49bps. (2) Magnificent 7: Large-cap mutual funds were 723 bp underweight the Mag 7 as of Q1 2026 (vs. 710 bp underweight as of Q4 2025). Mutual funds reduced ownership in each of the Mag 7, with the largest reduction in GOOGL. (3) IPOs: US equity mutual funds increased their cash balances ahead of each of the four largest IPOs during the past few decades.

3. SECTORS: Funds were most overweight Industrials (+197 bp) and Financials (+190 bp). However, Financials stocks represented 9 of the 20 most popular fund decreases. Funds remained most underweight the Info Tech sector (-478 bp). Current tilts to Industrials, Health Care, and Energy all ranked at or near their 10-year highs.

4. STOCKS: YTD the largest mutual fund overweights (GSTHMFOW) have underperformed the equal-weight S&P 500 (-3% vs. +6%) and the largest underweights (GSTHMFUW, +14%).

NEW MF OVERWEIGHTS (GSTHMFOW): MRK, FDX, PH, TXN, TMO, KDP, TPL, WAB, USFD, APA, SLB, APG, GILD, FCNCA, AXP, PPG

NEW MF UNDERWEIGHTS (GSTHMFUW): JNJ, SNDK, RTX, UBER, GLW, OKE



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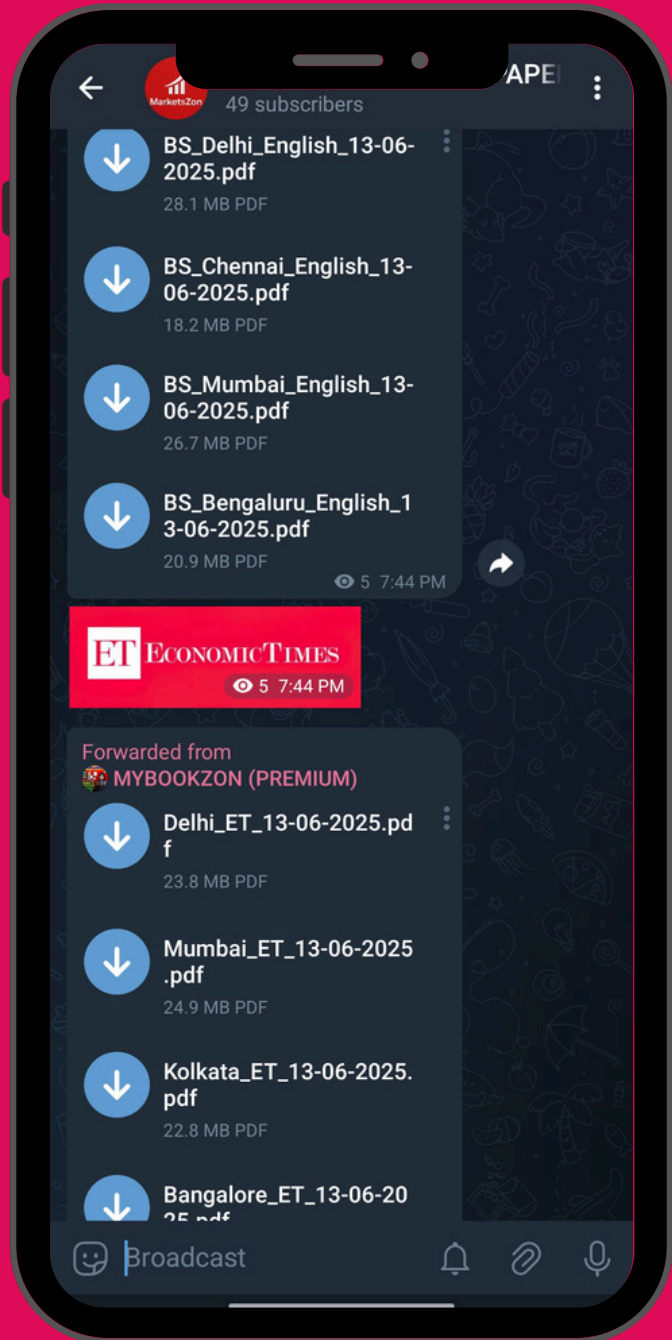
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